

Multiple Choice

1. **Answer:** B

Options: A) Per unit and per category; B) Ad valorem and specific; C) Percentage and fixed fee; D) Comprehensive and selective; E) Fixed rate and variable rate

Note: Correct option: B - Ad valorem and specific

2. **Answer:** A

Options: A) \$210,000; B) \$190,000; C) \$220,082; D) \$235,000; E) \$225,000

Note: Correct option: A - \$210,000

3. **Answer:** A

Options: A) inflation had already impacted the economy before the fiscal stimulus.; B) aggregate demand is steeply sloped.; C) the fiscal policy was ineffective.; D) aggregate supply decreased.; E) aggregate supply increased.

Note: Correct option: A - inflation had already impacted the economy before the fiscal stimulus.

4. **Answer:** A

Options: A) Increasing Unchanged; B) Decreasing Unchanged; C) Unchanged Decreasing; D) Decreasing Decreasing; E) Unchanged Unchanged

Note: Correct option: A - Increasing Unchanged

5. **Answer:** A

Options: A) Supply public goods using tax dollars; B) Initiate a lottery system for the usage of public goods; C) Enact stricter antitrust legislation; D) Increase the prices of public goods; E) Allow private companies to supply public goods

Note: Correct option: A - Supply public goods using tax dollars

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'an irregular zig-zag line.'

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The roots of the characteristic equation must all be greater than one in absolute value'.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The price level drops by 10%'.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** The rich country is not exploiting the poor country.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** No, full employment is not sufficient for the maintenance of growth. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key